

A large number of food items such as fruit pulp or fruit juice, biscuits of retail sale price less than Rs 100

per kg and ice cream and non-alcoholic, beverages, prepared and dispensed by vending machine is already fully exempt

from excise duty. Sugar confectionary (excluding white chocolate and bubble gum), biscuits of retail sale price more than Rs 100 per kg, pastries and cakes, wafer biscuits already attract 4% excise duty.

SHRI SUBODH KANT SAHAI
Hon'ble Union Minister for
Food Processing Industries



of growth.

The food processing sector is a major attraction for Indian corporate houses to invest. Reliance, Godrej, Bharti, ITC, Hero, Ballarpur Industries, DSCL, Tata and Mahindra & Mahindra are prominent corporate houses are with end-to-end integrated operations in the food chain.

Earning profits through food processing comes from an efficient backward and forward integration. Even though value addition begins at the post harvest level it needs critical integrated efforts of both pre-harvest and post-harvest functions. The government has offered opportunities for FDI and private participation: a right direction for the industry's promotion. Private companies can integrate the food chain with supplying quality seeds to farmers who get back their fair-share of returns, and the companies can process the food linked to supermarkets with efficient supply chain infrastructure.

There is an improvement in the tax environment. Import duty on equipment has been rationalized and brought down to a reasonable level. The excise duty on local production has also been made zero in many food items and is at a reasonable 4% on the remaining. The Income Tax Act provides for tax holiday for processing fruits, vegetables and other perishables. There has been a 3-pronged success: one, across the board 150% of investment in in-house R&D by the company becomes tax deductible. Second, all investment on the capital side in agriculture storage and cold chain will get benefit of depreciation in the very first year. Third, the tax holiday regime prevalent for fruit and vegetable has now been extended to all perishable, like milk, meat, poultry, egg and fish.

Foreign Direct Investment has been growing, except last year. Foreign companies are looking at good regulatory practices. A uniform regulatory Code has been introduced and the authority is encouraging enforcement of voluntary declaration basis.

The ministry has plans to create 30 cold chains in the Eleventh Five Year Plan (2007-12). The proposals to set up the cold chain under the infrastructure development scheme have made a fast progress. It envisages financial assistance in the form of grant-in-aid to the tune of 50% of the total cost of the plant and machinery and technical civil works in general areas like J&K, Himachal Pradesh, Uttarakhand, North East including Sikkim and integrated Tribal Development Notified areas with a cap of Rs 10 crore.